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European Banks Are Embracing Stablecoins With An Eye On The Future

Key Takeaways

- Banks and bank-affiliated entities will likely issue stablecoins in 2026, particularly in Europe, where there is growing interest in developing euro-pegged stablecoins.
- The tokenization of real-world assets for investment purposes and increased stablecoin use for retail and corporate payments should gradually create demand for euro-pegged stablecoins and could provide new revenue streams for European banks.
- S&P Global Ratings expects the euro-pegged stablecoin market to grow from a shallow level of about €650 million at year-end 2025 to between €25 billion and €1,100 billion by 2030 (equivalent to 0.1% to 4.2% of eurozone banks' overnight deposits) driven by tokenized investments and, to a lesser degree, payments with stablecoins.

Stablecoins are poised to enter the mainstream of European finance in 2026. The digital tokens, which are often pegged one-to-one to currencies, promise greater stability than unbacked crypto assets yet retain many of the same benefits--speed, low costs, and traceability. That makes them a potentially useful instrument for both investment (via tokenized assets) and business transactions, especially across national borders.

S&P Global Ratings expects European stablecoin issuance and use to grow rapidly, beginning this year and continuing over our forecast horizon. By 2030 we forecast the total value of euro-pegged stablecoins will be between €25 billion and €1,100 billion (equivalent to 0.1% to 4.2% of eurozone banks' overnight deposits), up from a current level of about €650 million. The scale and speed of that change will have implications for the European financial system and

deliver opportunities and challenges to incumbents including banks, asset managers, payment platforms, and other financial services providers.

The regulatory foundations on which the stablecoin markets will be built were solidified in 2025. In the U.S., the “Guiding and Establishing National Innovation for US Stablecoins” (GENIUS) Act was signed into law in July, while the European Union’s (EU’s) “Markets in Crypto-Assets Regulation” (MiCAR) went into effect on January 1. The initiatives provide a more legally robust footing for stablecoin issuers and consumers on both sides of the Atlantic.

In the EU, the assurance provided by MiCAR has spurred institutional adoption of tokenized investments and piqued banks' interest in issuing stablecoins to support settlement. That growth should accelerate with the development of retail and corporate payment use cases, assuming they effectively harness the economic benefits of tokenized solutions -- efficiency (speed, security, 24/7 availability, and low-fee transactions) and reduced counterparty risks (automatic and programmable settlement).

Global Banks Are Responding To The Threats And Opportunities

Stablecoins' emergence and growth presents established banks with both potential revenue opportunities and a threat to their traditional roles as intermediaries--which could be supplanted by non-bank platforms. Larger banks have responded by pivoting to embrace stablecoins, with the promotion of use cases to clients and with plans to issue their own stablecoins in compliance with local regulations. Examples include:

- The September 2025 announcement by nine European banks (since enlarged to 11) from nine European countries of plans to collaborate on a euro-pegged stablecoin, expected to be issued in the second half of 2026. We anticipate that more European banks could join the initiative, enhancing an already powerful distribution network and access to about 150 million clients in Europe--which will be key factor for success, given that distribution and positive network effects are crucial in the payment space.
- An October 2025 announcement by ten global systemically important banks (G-SIBs) of their intention to issue stablecoins pegged to G7 currencies on public blockchains. The timing and jurisdiction of potential issuances remain unclear, and we expect more communication this year on the substance and timeline.
- A subsequent statement by Japan's three megabanks of plan to issue yen-pegged stablecoins for corporate wholesale payments. Japan's Financial Services Agency publicly said it supports the initiative.

European Banks Are Anticipating Tokenized Financial Services

Major European banks' newfound focus on stablecoins follows a roughly 50% increase in the total value of the stablecoin market since the beginning of 2025. The vast majority of that growth has been in USD-pegged stablecoins, which had a combined value of about \$310 billion at the end of 2025, while the euro-pegged stablecoins market was worth a meager €650 million (or about 0.2% of the total).

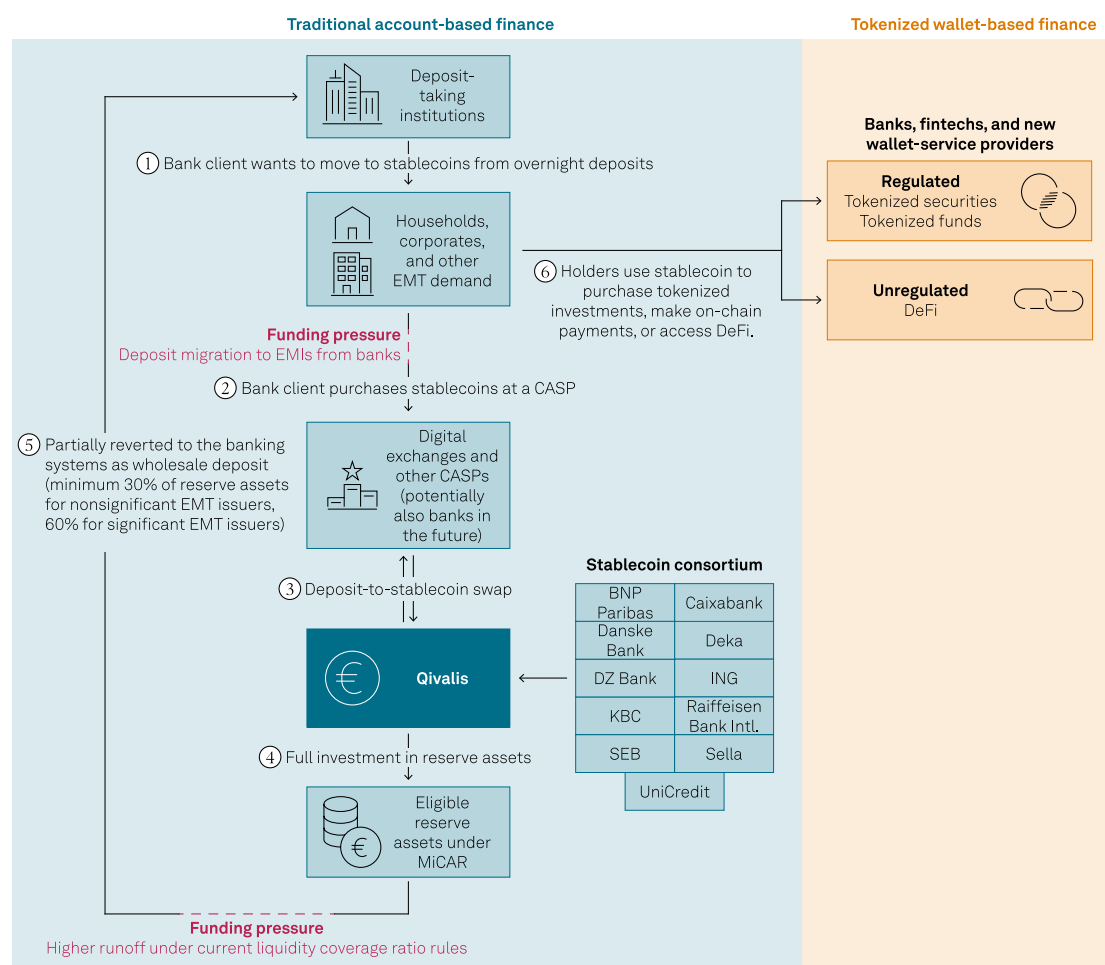
That disparity is stark, yet we believe European banks can benefit from a fast-follower advantage, underpinned by the clear regulation provided by MiCAR and momentum in stablecoin adoption. We

anticipate European banks, and affiliated companies will issue their own euro-pegged stablecoins. Notably, the consortium of 11 European banks has said it plans to launch a euro-pegged stablecoin by the second half of 2026, through Qivalis, a Netherlands-based registered issuing entity. We understand Qivalis hopes to secure an electronic money institution (EMI) license in the first half of 2026 to ensure MiCAR compliance (see chart 1) and plans to release a whitepaper, as required by MiCAR, detailing the rationale and use cases for the still unnamed stablecoin.

Chart 1

Qivalis will be an electronic money institution under MiCAR

The issuer is owned by a stablecoin consortium of 11 European banks



CASP--Crypto Asset Service Provider. DeFi--Decentralized finance. EMI--Electronic money institutions, EMT--Electronic money token, MiCAR--Markets in Crypto-Assets Regulation. Source: S&P Global Ratings.
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While the 11 banks are owners of the EMI, we understand that the issuer will operate with its own management team and staff and will make decisions regarding the reserve pool independently of the banks. This means that when a client of the owning banks requests euro-pegged stablecoins from Qivalis, incoming funds won't automatically be deposited with the bank and could be swapped to stablecoins permanently resulting in outflows from overnight deposits. On the plus side, the JV will generate interest income for the banks on reserve assets from the funds held by the EMI and, to a lesser extent, fees for services provided to institutional clients.

Even if some reserve assets return as bank deposits, they will be treated as wholesale deposits under current EU regulation and thus be subject to a more punitive liquidity treatment than retail deposits. In October 2025, the European Systemic Risk Board (ESRB) estimated that the liquidity coverage ratio (LCR) would have been four percentage points lower (at 154% from 158%) at the end of 2024 if 100% of future euro-pegged stablecoins were treated as wholesale deposits and ended up on balance sheets of the significant institutions supervised by the European Central Bank (ECB). This assumes conservative LCR treatment, with a high (100%) runoff rate of the cash from the stablecoin issuers that is held as wholesale deposits at banks compared to traditional deposits run off rate of 5%. The ESRB uses a scenario in which euro-pegged stablecoins have a market capitalization of €130 billion, equating to about 1.25% of M1 money supply (currency in circulation and overnight deposits) in the eurozone.

MiCAR Will Power Institutional Adoption of Stablecoins

Stablecoin regulations are operational and effective in jurisdictions including the EU, Japan, Singapore, Hong Kong, and the United Arab Emirates. Elsewhere, regulations are either evolving, such as in

the U.S., or being developed, as in the U.K. and South Korea.

The EU’s MiCAR regulation stands out for its comprehensiveness and inclusion of important aspects aimed at fostering consumer protection and enhancing the integrity of crypto asset markets, including stablecoins (see table 1). MiCAR entered into force on June 29, 2023, while stablecoin regulations were implemented on June 30, 2024, with a transitional period for issuers in place until July 1, 2026.

Table 1

MiCAR is one of the world's most comprehensive stablecoin regulations		
Coverage	Rules	Purpose
Stablecoin type and issuer eligibility	•Electronic money tokens (EMT)*: can be issued by banks or electronic money institutions (EMI) •Asset reference tokens (ART)§: can be issued by authorized legal entities	Defines the scope and licensing arrangements; currently only for electronic money tokens registered in the EU as of Jan. 31. 2026
Supervising authorities	•For significant† EMT or ART: The European Banking Authority (EBA) has oversight and coordinates with national competent authorities (NCAs) •Non-significant stablecoins: NCAs	Effective enforcement of laws and co-ordination between NCAs for cross-border supervision
	•1:1 with highly liquid, low-risk financial instruments; unencumbered with limited exceptions	

Eligible reserve assets	• EMT and ART issuers must hold minimum deposits at licensed credit institutions: - Minimum 60% deposits for significant EMTs and ART issuers - Minimum 30% deposits for non-significant EMTs and ART issuers	Specifies assets eligible for use in the reserve pool (by coverage, asset type, and maturity)
Segregation reserve assets	• Reserve assets must be legally segregated in separate accounts, remote from issuers	Maintains bankruptcy protection by mandating the ring-fencing and legal separation of reserve assets from issuers
Redemption	• Fee-free and immediate redemption at par value within a defined redemption plan	Establishes redemption procedures, timelines, and valuation methods for payout
Stablecoin remuneration	• Prohibition of interest payments, other remuneration, or any equivalent benefit to stablecoin holders by issuers and third parties	Maintains stablecoins as non-remunerating payment instruments distinct from investment instruments that offer a yield
Prudential requirements	• Risk-based own funds and liquidity requirements with supervisory discretion • Regular stress testing based on, at least, solvency and liquidity	Sets capital and liquidity requirements, and stress-test methodology, which is designed by the EBA, the European Securities and Markets Authority, and the European Central Bank
Resolution	• Recovery plan with actionable measures with regards to governance, early warning indicators, monitoring thresholds,	Defines the resolution and recovery process for an issuer to meet redemption and service obligations in the

	recovery options, and communication and disclosure plans to token holders and other stakeholders	unlikely event of nonviability of the issuer for ordinary continuation of operations
Disclosure	•Release of whitepaper with minimum content requirements on multiple aspects; strict disclosure of conflicts of interest •Quarterly disclosure of number of token holders, value of minted stablecoins, size of reserve assets, and daily transaction data for the quarter	Standardizes white paper content and periodic reporting on reserve assets and minted stablecoins to foster transparency and good governance
*Reference to a single official fiat currency. §Reference to multiple currencies, commodities, or a basket of assets. †An ART or EMT is significant if it meets at least three of the following four criteria: number of token holders > 10 million; market capitalization > €5 billion; average daily transaction volumes > 2.5 million transactions; average daily transaction value > €500 million in value. Sources: MiCAR, European Union, S&P Global Ratings.		

While MiCAR lays out clear rules, there are still important technical details to be finalized. These are being clarified and defined by the European Banking Authority (EBA), in close cooperation with other regulators, and endorsed by the European Commission through regulatory technical standards (RTS) and the implementation of technical standards.

A key area still requiring a final ruling is the composition of reserve assets, specifically relating to the minimum share of financial instruments with maximum maturities, and concentration limits of

reserve assets at deposit-holding institutions. That process is underway and the EBA, in a RTS dated June 13, 2024, proposed:

- That at least 40% of the reserve assets behind significant euro-pegged electronic money tokens (EMTs) and asset reference tokens (ARTs) must be invested in assets with daily maturities (or 20% for EMTs and ARTs not deemed significant), and 60% in assets with weekly maturities (or 30% for EMTs and ARTs not deemed significant).
- That reserve assets held as deposits be subject to inclusion caps at holding credit institutions, with the deposits only eligible for inclusion in the reserve pool of stablecoin issuers if they do not exceed 1.5% of the credit institution's total assets.
- Guidance on concentration limits, including that reserve assets held as deposits at a single credit institution cannot exceed: 25% for a G-SIB or other systemically important institution (O-SII); 15% for a large credit institution as defined under the EU's Capital Requirements Regulation (CRR); and 5% for other credit institutions not in these categories.

We think these changes will have a relevant impact on reserve asset composition for stablecoin issuers in the EU. For instance, in the case of EURCV, the euro-pegged stablecoin issued by Société Générale Forge, all reserve assets are currently held at the parent entity, Société Générale. We anticipate that, once the RTS goes live under MiCAR, the stablecoin issuer will need to diversify its reserve assets across multiple banks, particularly as the issuer grows its base of token holders, expands its reserve pool, and increases stablecoin transaction volumes. This growth could trigger a reclassification to a significant EMI, leading to stricter holding requirements for the reserve pool.

Beyond reserve asset composition, policymakers are finalizing other technical details under MiCAR, including own fund requirements, recovery plans, and stress testing for stablecoin issuers. The European Commission is due to complete its review of MiCAR in June 2027 and could adapt technical parameters to address identified weaknesses and regulatory arbitrage as other jurisdictions introduce their regulations.

For example, the ESRB has identified a risk associated with third-country multi-issuer stablecoin schemes, where issuers could rebalance reserve assets to satisfy redemption activity outside the EU, potentially depleting EU reserves. We consider this concern to be more relevant for established, regulated USD-pegged stablecoins, like USDC, than for future euro-pegged stablecoins. The ESRB recommends stricter liquidity and capital requirements for these schemes, emphasizing the need for a resolution framework before the European Commission's review.

The Stablecoin-Bank Nexus Could Expand In Europe

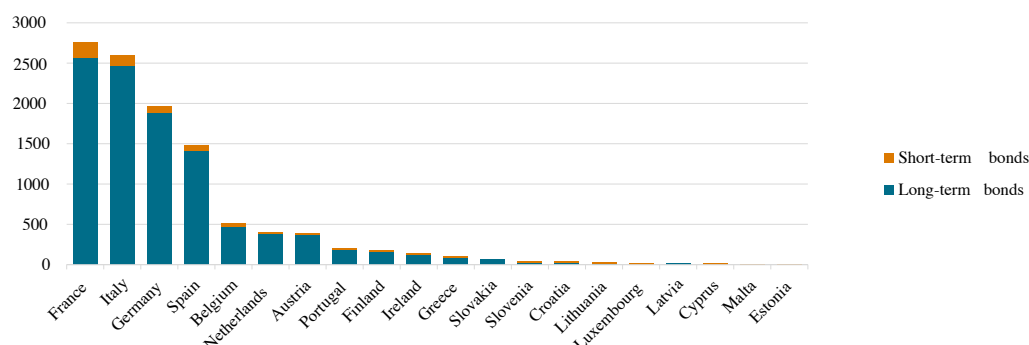
In our view, a significant adoption of euro-pegged stablecoins could increase interconnectedness between banks and stablecoin issuers, which we associate with higher financial stability risks. Specifically, increased run risks on stablecoins during market stress could lead to sudden and large payouts of deposits held at banks, potentially creating liquidity pressures in the banking sector. Concentration limits and well-defined redemption rules under MiCAR, banks prudently managing the deposit holdings of these issuers, and banks considering funding and liquidity risks under supervisory oversight, would mitigate that risk. That said, we consider the risk of a run demands that any sizeable increase in the value of euro-pegged stablecoin markets be carefully monitored.

The risks of a deepening stablecoin-bank nexus could be reduced by diversification through more holdings of short-term sovereign debt securities in the reserve assets of stablecoin issuers. As of Sept. 30, 2025, only the largest eurozone countries--France, Germany, Italy, and Spain--had more than €1 trillion in sovereign debt outstanding, of which only about 5% was short-term securities. The value of total debt instruments issued by eurozone countries was €11.3 trillion at the same date (see chart 2).

Chart 2

A significant share of eurozone government bonds have a long-term maturity

Government debt securities of eurozone countries as of Sept. 30, 2025 (bn. €)



Outstanding central government debt securities excluding social security. Long-term bonds: over 1 year maturity. Short-term bonds: below 1 year maturity.

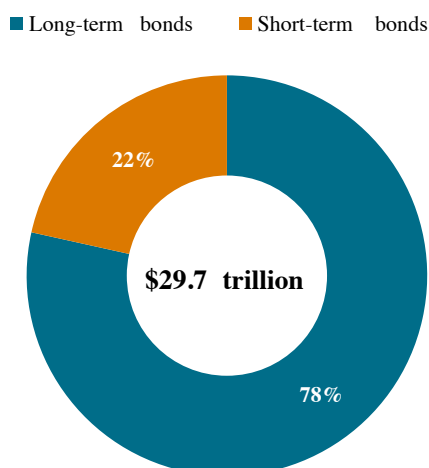
Source: European Central Bank. S&P Global Ratings.

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Of those marketable debt securities, only 6% (about €700 billion) had a maturity of less than one year--while no breakdown showing short maturities of less than three months was available. This compares to about \$30 trillion in the U.S., including a 22% share (\$6 trillion) of short-term instruments (T-bills) (see chart 3 and chart 4).

Chart 3

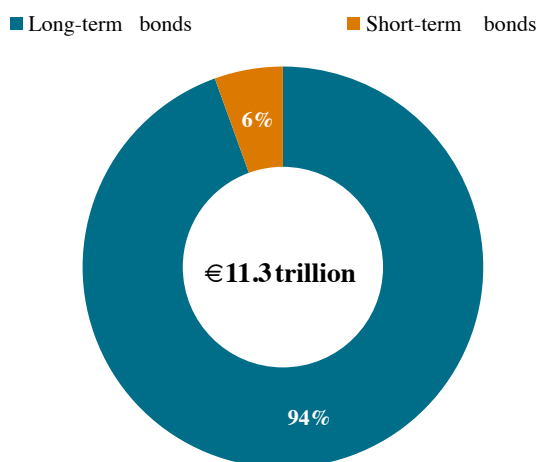
T-Bills make 22% of total U.S. government bonds...



Data as of September 30, 2025. Long-term bonds--Treasury Notes, Treasury Bonds, Treasury Inflation-Protected Securities, Floating Rate Notes. Short-term bonds--Treasury Bills. Source: U.S. Department of the Treasury. S&P Global Ratings. Copyright © 2025 by Standard & Poor's Financial Services LLC. All rights reserved.

Chart 4

...while short-term government bonds make only 6% of total eurozone government bonds...



Data as of September 30, 2025. Outstanding central government debt securities excluding social security. Long-term bonds: over 1 year maturity. Short-term bonds: below 1 year maturity. Source: European Central Bank. S&P Global Ratings. Copyright © 2025 by Standard & Poor's Financial Services LLC. All rights reserved.

Tokenization Could Unlock Stablecoin Adoption

The pace of growth of the euro-pegged stablecoin market will largely depend on their adoption beyond crypto asset investments, where USD-stablecoins are likely to continue to dominate. A potential transition from an "account-based" to a "wallet-based" ecosystem, operating within regulatory boundaries and supervisory oversight,

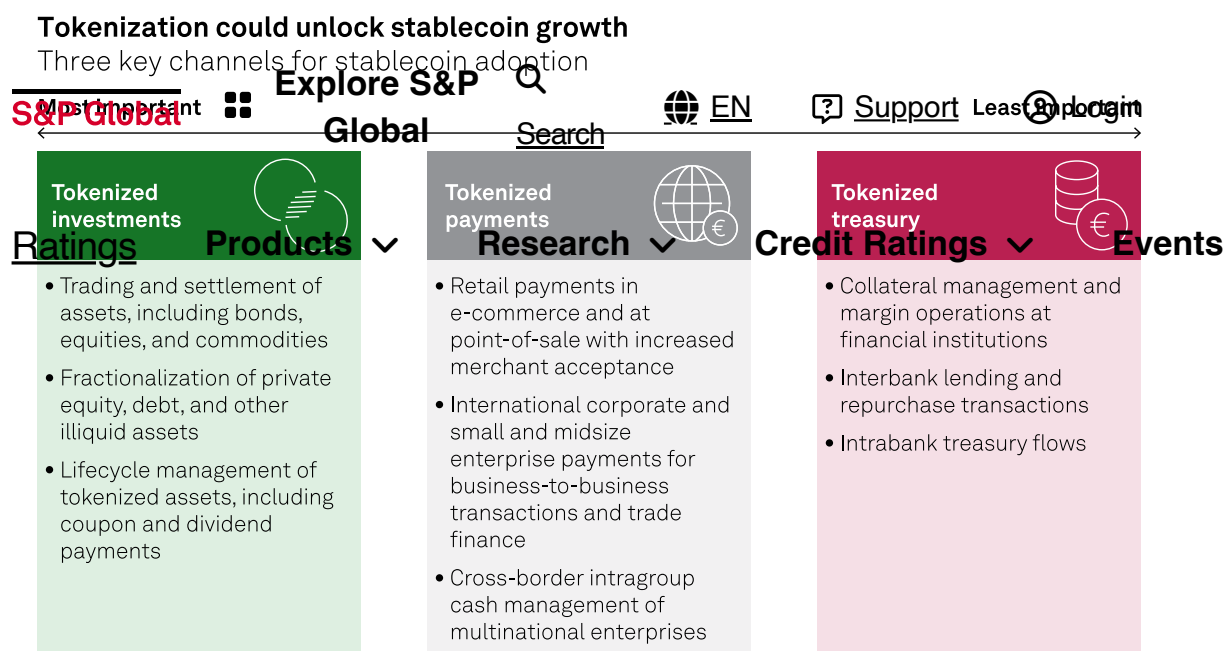
could drive increased adoption of stablecoins by facilitating their use to settle tokenized transactions. Traditional banks and other financial services companies operate within a current-account-based finance system in which they manage the onboarding of new clients, and the regulator required "know-your-client" procedures. A transition to blockchains will necessitate a system based on wallets (which store and manage the keys needed to access digital currencies). This may open the market to new and innovative competition as these wallets could be provided by nonbank service providers. We believe the benefits of tokenization are well-established and understood by market participants, which could drive convergence of traditional finance infrastructure and blockchain-based innovation (see box 1).

Box 1: What are the benefits of tokenization?

- Financial inclusion and liquidity: tokenization enables fractional ownership of assets, broadening investor access, increasing financial inclusion, and transforming illiquid assets into tradeable instruments. This could foster deeper and more liquid capital markets and improve asset mobility.
- Time and cost efficiency: streamlined infrastructure and fewer intermediaries translates to lower costs and fees (for both issuers and investors) and faster transactions through automatic settlement on blockchains (T+0 settlement).
- 24/7 trading and transparency: blockchain technology facilitates around-the-clock trading and provides a transparent, traceable record of asset transactions, fostering investor trust.
- Programmable finance and security: smart contracts enable conditional transactions and delivery-versus-payment settlement, effectively eliminating counterparty risk and unlocking new possibilities for programmable finance.

We believe the adoption of stablecoins in a wallet-based economy could materialize through three channels (see chart 5):

Chart 5



Euro-Pegged Stablecoins Could Significantly Expand By 2030

We anticipate regional divergence in how banks and financial services companies use stablecoins, deposit tokens, and wholesale CBDCs (wCBDCs) for tokenized treasury (our third channel in chart 5). In the U.S., regulated stablecoins and deposit tokens-- offered through bank platforms--are likely to be used for treasury activities. In the eurozone, we believe a wCBDC may become the preferred settlement tool for treasury activities.

The ECB has conducted successful trials in 2024 as part of its "exploratory work on new technologies for wholesale central bank money settlement." Following this, a pilot program, called Project

Pontes, for commercial bank settlement of wholesale transactions using a wCBDC is scheduled for launch in the third quarter of 2026. We understand that Pontes is an interim project supporting the ECB's strategic goals relating to what it calls a "European tokenized financial ecosystem" under Project Appia, which aligns with a broader target to develop a Savings and Investment Union of the EU. The ECB plans full operationalization of Project Appia by year-end 2028, with a launch paper expected in mid-2026.

Regarding the other two growth channels (see chart 5), we believe tokenized investments will be the main driver of euro-pegged stablecoins expansion, followed by tokenized payments.

Furthermore, we expect tokenized investments and payments will have a similar, and significant, impact in terms of driving demand for stablecoins in both the U.S. and Europe over the next five years.

Tokenized investments currently represent a tiny fraction of the potential market in the U.S. According to data from RWA.xyz, the market capitalization of tokenized real-world assets (RWAs), excluding stablecoins, reached \$20.1 billion at year-end 2025, or a mere 0.02% of the about \$117 trillion of assets that could be tokenized. Conservative forecasts project tokenized RWAs' market value at between \$1.5 and \$2.0 trillion by 2030, while more optimistic views extend to \$16 trillion. Applying a conservative projection of \$2 trillion, we estimate that tokenized RWAs (which would require stablecoins for digital settlement) could comprise 1.2% of RWAs in the U.S. in the future. Extrapolating that to the eurozone's RWA market of about €28 trillion at year-end 2025, our baseline scenario is that the value of euro-pegged stablecoins used for digital asset settlement of tokenized investments could reach about €500 billion in 2030.

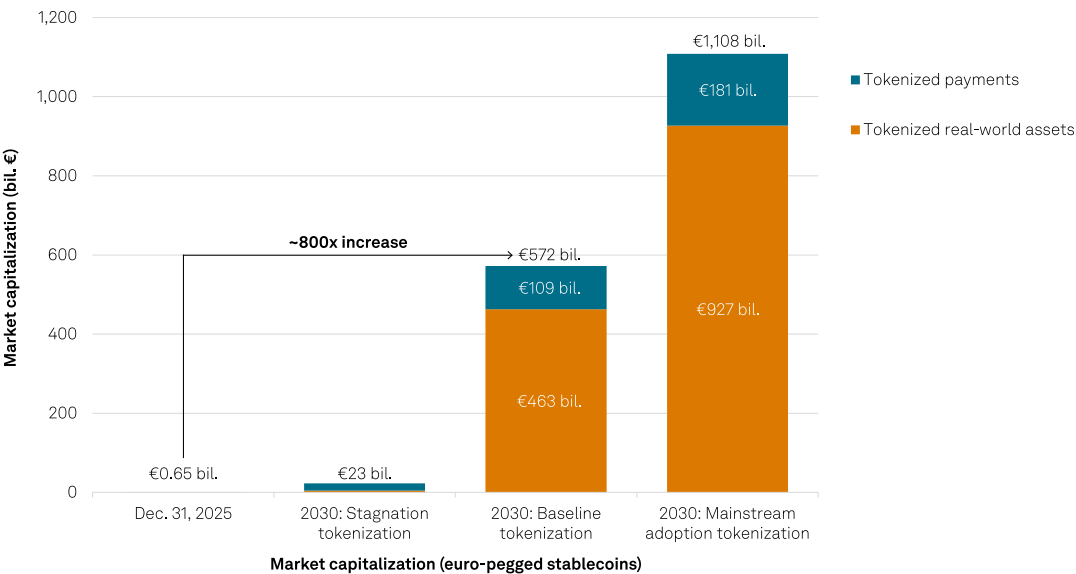
Looking at tokenized payments, we estimate that about 5% of the about \$310 billion in USD-pegged stablecoins are currently used for payments by the private sector. If USD-pegged stablecoins grow to \$2.25 trillion--the midpoint of pessimistic and optimistic forecasts--they would represent about 1.2% of U.S. banks' overnight deposits by 2030. Assuming a similar relationship between stablecoins and overnight deposits in the eurozone, we project euro-pegged stablecoins could reach approximately €100 billion in our baseline scenario for tokenized payments.

Combining the baseline scenario outcomes in Europe for both channels, we project the value of the euro-pegged stablecoin market will be about €570 billion by 2030, representing 2.2% of the eurozone banks' total deposits in 2030. This is 880 times higher than its current market capitalization of about €650 million and exceeds the size of today's USD-pegged stablecoin market.

We believe that real-world applications of stablecoins, compared to the current use for crypto asset trading, supports this very high growth multiple. Yet the potential market size is highly sensitive to variations in the forecast parameters. This results in a wide range of possible outcomes, from €23 billion, or 0.1% of overnight deposits, under a scenario where tokenization stagnates, to €1,108 billion, 4.2% of overnight deposits, in a scenario characterized by mainstream adoption of tokenized solutions (see chart 6).

Chart 6

Euro-pegged stablecoins could become sizable thanks to tokenization
Range of euro-pegged stablecoins per use case by 2030



Note: "Stagnation Tokenization" is based on conservative market forecasts of tokenized RWAs and payments by 2030. "Mainstream Adoption Tokenization" is based on optimistic market forecasts for tokenized RWAs and payments by 2030. "Baseline Tokenization" is represents the midpoint of the conservative and optimistic market forecasts. Tokenized RWAs in the eurozone are projected to reflect 1.2% of total eurozone RWAs in 2030, mirroring an expected 1.2% share of U.S. tokenized RWAs relative to total U.S. RWAs in 2030. Tokenized payments in the eurozone are projected to reflect 1.2% of total eurozone bank overnight deposits in 2030, corresponding to expected USD-pegged stablecoins used for payments as a percentage of U.S. bank overnight deposits in 2030. RWA--Risk-weighted asset. Source: S&P Global Ratings. Copyright © 2026 by Standard & Poor's Financial Services LLC. All rights reserved.

The different scenarios we considered (see table 2) illustrate the potential for strong or weak demand for euro-pegged stablecoins to significantly affect the total value of the market in 2030.

Table 2

Sensitivity analysis: Market capitalization of euro-pegged stablecoins in 2030 as a function of tokenized investments and payments

		Tokenized investment (RWAs in bil. \$)*				
		\$20	\$1,000	\$2,000	\$3,000	\$4,000
Stablecoins used for payments (% of overnight deposits)	0.20%	23	250	482	713	945
	0.60%	59	286	518	750	981
	1.20%	113	340	572	804	1,036
	1.60%	149	377	608	840	1,072
	2.00%	186	413	645	876	1,108

*Tokenized investments (RWAs) and payments (as % of banks' overnight deposits) reflect similar relativities as those projected for the U.S. market in 2030. RWA--Risk-weighted asset. Source: S&P Global Ratings. Copyright © 2026 by Standard & Poor's Financial Services LLC. All rights reserved.

Euro-Pegged Stablecoins Are Ready For Adoption,

The Demand Could Follow

We anticipate continued stablecoin adoption, fueled by technological progress, including advancements in blockchain scalability and privacy solutions. Institutional adoption of tokenized assets will be the primary contributor, as these assets require digital settlement through a cash-like mechanism. Stablecoin interoperability with existing solutions will be key as payment rails fragment and multi-money solutions emerge. We expect programs, like the European Payment Initiative, will also play a role and may adopt tokenized, wallet-based, payment solutions.

At the same time, the pace of payment innovation will continue accelerating. As banks and other financial services companies update legacy systems, they are actively exploring blockchain integration and partnerships to support innovation.

We believe traditional players will need to prepare for more tokenized workflows, particularly if capital markets go through a cycle of tokenizing RWAs and in doing so provide an environment ripe for the rapid growth of euro-pegged stablecoins from their currently low base. We think this tokenization of investments will be one of the key financial market trends over the next five years.

Yet some uncertainty remains with regards to the adoption of stablecoins. The settlement tool for RWA transactions could be stablecoins, but it could also be wholesale CBDCs or other digital settlement assets, such as tokenized deposits. As for traditional day-to-day payments; bank clients will ultimately choose their preferred payment method based on user experience, the relative and perceived risk of tokenized money compared to traditional payment tools, and on the cost benefits of different payment options.

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